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Not Black, but Grey

By the end of my second month with Govindbhai – or GB, as he was popularly known – he had taken a liking to me. During trading hours, he was a taskmaster, a boss very hard to please. But once work for the day was done, he would become a different person. Sometimes he would chat with me and the other dealer Dilip and talk about his experiences on the stock exchange. They were fun as well as insightful, considering that GB had been in the market since 1975.

‘Have you ever given a thought as to how the grey market in IPOs came about?’ he asked us one evening as we were sipping tea.

Both Dilip and I shook our heads.

‘It is one of the many consequences of the licence raj and quota raj that used to prevail in the 1970s and 80s. Demand invariably exceeded supply, resulting in a black market for just about everything. You could say that the grey market for IPOs was actually a black market where you could get extra shares if you were willing to pay a higher price for them.

‘There was another reason for the emergence of the grey market. Most issues in those days just about got subscribed. I am talking about the days when IPOs of MNCs had not yet made the share market popular. To ensure that their issues sold, promoters would create a premium on their shares to get investors interested. If an issue priced at Rs 10 was quoting for Rs 11 in the grey market, the public would naturally develop an interest in those shares. The operator willing to buy the shares for Rs 11 in the grey market was backed by the promoter or the investment banker to the issue. After the initial bids for a few thousand shares that helped set a price, market forces